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Carolyn's Dilemma

How Do I Create a Strategy?

My 10:00 a.m. appointment is with a student in the University of California at Los Angeles (UCLA) executive education program. About thirty-five, she has responsibility for business planning at a health-products company. She works full-time (as do her fellow students), attends classes on Fridays and Saturdays, and is in my fifth-floor office at the Anderson School to talk about a problem at work.

"We have a new CEO," Carolyn begins, explaining that the chief executive officer has asked her to rethink her division's business strategy. He wants a new approach to deliver at least 15 percent annual profit growth. He indicated that her success at this could really influence her trajectory in the company. She says she "likes the strategy course and is getting a lot out of the case discussions . . ." She pauses and then explains that she needs to "jump on some specific tools to create the strategy my boss wants." She is looking for help in filling the gaps between where the company is and where the boss wants to go.

We talk for a bit about her business and about the course concepts. I encourage her to identify what makes her business different, or special, compared to its competitors. I ask her about the particular challenges and opportunities it faces. She replies haltingly at first, in generalities.

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"We have good people," Carolyn says. "We try to keep our products up to date." She pauses and then spills out her concern. The company's strategic plans are short documents that describe financial goals and show the milestones for getting there. She is looking for a "simple road map. . . a plan the CEO can take to the board, with steps for achieving the goals."

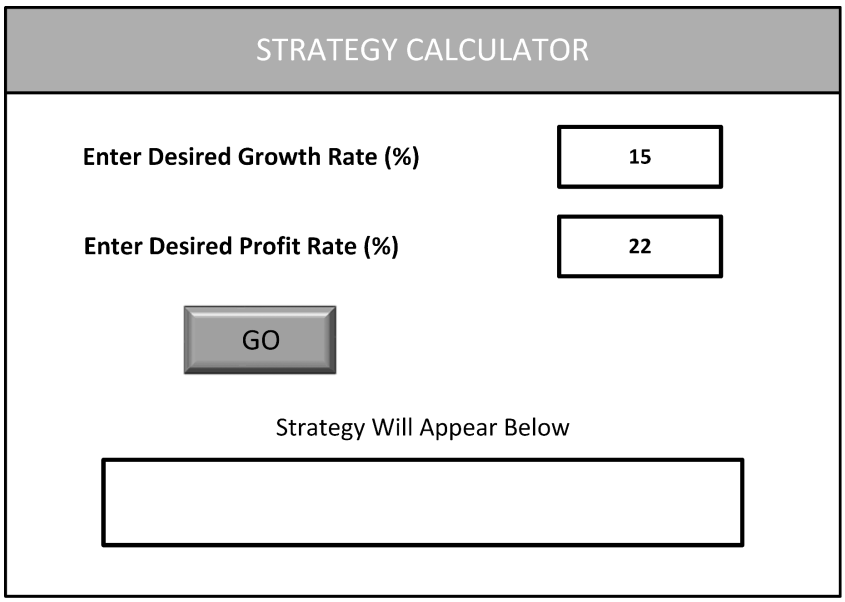
I nod, but don't say anything.

"There must be some system for creating a logical business strategy," Carolyn finishes.

I get a sudden mental flash—a visual picture of an imaginary "strategy calculator," something like Figure 3. I keep it to myself, as Carolyn is not in the mood for humor.

In truth, Carolyn is in a tough spot. She has put her finger on what has been the great missing piece in the foundation of almost all writings and teachings about strategy. This weakness was well captured more than a decade ago by strategy authority Gary Hamel: "Of course, everyone knows a strategy once they see one—be it Microsoft's, Nucor's, or Virgin Atlantic's. Anyone can recognize a

FIGURE 3. Strategy Calculator



great strategy after the fact. We also understand planning as a 'process.' The only problem is that process doesn't produce strategy—it produces plans. The dirty little secret of the strategy industry is that it doesn't have any theory of strategy creation."[1] (By "strategy industry" Hamel means the cadre of academics and consultants who opine about and are hired to work on strategy.)

Carolyn's problem is that her boss has not wrapped his head around the crux of his situation. He is focused on performance goals and outcomes rather than opportunities and problems.

A STRATEGY WALKTHROUGH FOR NETFLIX

The key steps in dealing with a strategic challenge are a diagnosis of the situation—a comprehension of "what is going on here," finding the crux, and then creating reasonable action responses. To take a closer look at these steps, I am going to look at the situation Netflix faced a couple years back, in early 2018. In what follows, I am going to *simulate* the process of diagnosis and the creation of action responses.

Netflix began in 1998 and soon established itself as the leading company in the DVD rent-by-mail business. Its clever Cinematch system for predicting customers' orders and its efficient logistics were broadly admired. Then, starting in 2010, in one of the most dramatic pivots in business strategy, CEO Reed Hastings moved the center of the company's activity to online streaming, gradually leaving the DVD rental business behind. It signed important content deals with Starz, Disney, Lionsgate, MGM, Paramount, and Sony.

In 2013 Netflix offered its first "original" productions, *House of Cards* and *Orange Is the New Black*. These shows were commissioned to be produced solely for Netflix. By the end of 2017, it had distributed twenty-six originals on its streaming service. In addition, Netflix was growing internationally. At the start of 2018 it had fifty-eight million international subscribers compared with fifty-three million in the United States. Revenue was $11.7 billion and

was growing at a good pace. On the other hand, the company was burning cash, showing a net cash outflow of negative $1.8 billion in 2017.

As can be seen in the second part of Figure 4, Netflix's monthly cash costs exceeded its revenue per subscriber. The discrepancy between cash profit and accounting profit arose because the company amortized, or spread, its content costs over several years, creating the appearance of an accounting profit as long as it kept growing. Most of this outflow was financed with additional debt. Its expenses were also high due to the company's aggressive marketing campaigns.

FIGURE 4. Netflix Financial Results

	2017	2016
Dollars in Millions		
Revenues	11,693	8,831
Cost of revenues	7,660	6,030
Marketing	1,278	991
Technology and development	1,053	852
General and administrative	864	578
Operating income	839	380
Other income (expense):	(353)	(119)
Income before income taxes	485	261
Provision for income taxes	(74)	74
Net income	559	187
Dollars per Subscriber per Month		
Revenue	9.38	8.64
Production of content	1.51	1.44
Licensed content	5.92	5.73
Marketing	1.20	1.03
Technology	0.80	0.89
General & administrative	0.36	0.60
Other	1.36	1.02
Total cash cost	11.15	10.71
Cash profit	(1.77)	(2.07)

Among paid streaming services, Netflix's market share was about 76 percent, far ahead of Amazon Prime at about 17 percent, Hulu at 4 percent, and HBO's 3 percent.

In 2011 Netflix had faced a significant upset. It had been paying $30 million per year to Starz for access to its shows. At contract renewal, Starz asked for an increase to $300 million per year. Netflix had to raise subscription fees by 60 percent, and its stock price took a nosedive.

The Starz moment was a harbinger of things to come. Content suppliers began to ask for higher fees, and some began to pull their content back in the hopes of establishing their own streaming services. In particular, Netflix faced the loss of its two most popular TV series: *Friends* and *The Office*. WarnerMedia was taking *Friends* to its own streaming service (HBO Max), and *The Office* was being recalled by owner NBCUniversal for its planned Peacock streaming service.

Further storm clouds were the rising costs of original productions and the coming entry of new competitors. Disney was merging with 21st Century Fox and was planning an aggressive entry into streaming. It announced that it would remove its content from Netflix in 2019. Importantly, Disney planned to put all its archive and future theatrical releases on a new streaming platform. That would include properties from Lucasfilm, Marvel, Pixar, Fox, ESPN, and its own materials, everything from *Fantasia* to *Dumbo* to *Frozen*. As one observer put it, "Disney has 75 years of cultural capital to bring to the table."[2]

To make matters worse for Netflix, Apple announced it was joining the streaming wars. Its new Apple TV+ service would be priced at five dollars monthly and provide a growing list of titles. And Apple had very deep pockets to pay for new programming.

The Snare of Long-Term Goals

The advice often given to leaders such as Carolyn and her boss struggling to create a strategy is to first clarify your goals. Alice in

Wonderland–like parables are told about Cheshire cats and about how it doesn't matter what you do if you don't know where you are going. And, most likely, you will be advised to first write mission and vision statements before you define your strategic goals. Guidance from the authors of a leading strategy textbook is typical:

> The first element of a coherent strategy is a clear set of long-term goals toward which strategy is directed. These long-term goals typically refer to the market position or status that the firm hopes to achieve through its strategy. For example, long-term goals might be to "dominate the market," to be "the technology leader," or to be "the premium quality firm." By "long term" we mean that these goals are enduring.[3]

Take a moment and reflect on that advice. In this very common framework, strategy is portrayed as a set of actions directed at attaining certain "first element" long-term goals. But where do such goals come from?

Apparently, they somehow pop into existence. They magically appear *before* any analysis has taken place. If you haven't analyzed your business, its competitors, the dynamics of competition, and more, claiming that you want to "be the technology leader" is just vague bloviation. It certainly does not help your organization understand how to move forward. (See Chapter 14, "Don't Start with Goals," for more on this point.)

The idea that a person or organization has one or two primary driving goals is simply not true. It is a fantasy invented by economists and certain management thinkers. The reality is that most people and organizations have "a bundle of ambitions." That is, they have multiple intentions, visions of the future, and things they would like to see or achieve. Some things in this "bundle" conflict with one another—not all can be achieved together.

When I was twenty-five, I wanted to be a top researcher, advise senior executives on strategy, have summers off to make ascents in the high mountains of the world, learn to fly, backcountry ski in the winter, master the mathematics of statistical decision theory, be a teacher who could inspire my students, run 10Ks, drive a Morgan Plus 4 Drophead, easily move from the wilderness to the boardroom, marry a woman in a prestigious profession, have happy and talented children, have time to spend with my family, and make enough money to retire early and buy a town house on the Îsle Saint-Louis. During my life I got to make progress on a few of these. As opportunities and challenges arose, new ambitions grew and old ones were moved to the back shelf. Along the way, as I decided what to do next, I had to pick and choose among the items in my bundle of ambitions.

If I were Reed Hastings in early 2018, my ambitions would, likewise, be many:

- I would want the company to survive and prosper.
- I would be worried about the too high stock price.
- I would want to preserve the wealth, most in paper, that I have accumulated.
- I don't want to lose the position of being the leading streaming service in the United States.
- I would also dream about becoming a real intellectual property factory, like Disney, making my own movies and finding ways to reuse the content and characters like Disney and Viacom do (toys, books, theme parks, and so on).
- I would like to be different from that "old guard" and find a new and fresher way to work with talent and production people. I would want to keep growing my international footprint, especially in larger countries that can also create content (United Kingdom, Germany, Italy, Brazil, Mexico, South Korea, Japan).
- The European Union (EU) Parliament is considering a streaming-service requirement that at least 30 percent of

content be local—I want to push that and exploit the rule against Disney in the future.

- India is a huge market, and I would want to find a way to stream there at low subscriber rates.
- I also have dreams of being more like a TV station, with daily news streaming and covering sports events.
- Could I take a cue from YouTube and have a separate streaming "channel" for contributed content? From time to time I sometimes wish I could somehow sell out my holdings and start something new again, with a small team and not have to manage thousands of employees.
- Or I want to take a year off to be with my family.

Reed Hastings is a talented entrepreneur and, in reality, probably had some of these ambitions, perhaps even more. These kinds of intents and dreams are precursors to strategy, but they cannot all be accomplished, or at least not all at once. Effective strategy emerges out of an exploration of challenges, ambitions, resources, and competition. By confronting the situation actually being faced, a talented leader creates a strategy to *further some elements out of the whole bundle of ambitions*. Importantly, your ambitions are not a fixed and given starting point. In crafting a way forward, strategists will often have to choose among their values and ambitions. The ambitions made salient in a particular situation are as much outcomes as givens. In 2015 General Electric had an ambition to be a "top-10 software company by 2020." Today, it can't cut GE Digital fast enough. Cruise-ship lines that strove to be the most "fun" in 2020, now, after COVID-19, strive to be the "cleanest." For the Gap, being the leader in trendy denim has been replaced with simple survival.

Diagnosing the Challenges

Diagnosis is the starting point in creating a strategy. At Netflix there are a lot of opportunities for analysis—prices, costs, competitors, buyer behavior, changing tastes, and so on. There is a meaty

role for consultants here in analyzing the company and comparing it to competitors. The behavior of buyers (subscribers) is central, and there is much to learn about how different people and different cultures respond to variety, novelty, story lines, change, and pricing. And, importantly, we should look at how others have dealt with similar situations.

Still, after going over the typical two-hundred-page report on costs, prices, markets, buyers, and competition produced by your consultants, how do you then *create* a strategy to face a future where leadership in streaming is being contested?

One frequently hears that managers are decision makers. The theory of decision is highly developed. In one sentence, it says that you should choose the action that provides the highest expected payoff (utility). If you conceive of strategy as decision making, then your job would be to examine each alternative and select the best. You don't have to be an experienced executive to see that this is nonsense. Where do these "alternatives" come from?

The reality is that creating a strategy is not simply pure goal seeking or decision making, unless there are fairly well-structured causal connections between actions and results. If we knew how each possible chess move changed the probability of winning, it would be easy to step through a game. But we don't have that kind of mapping. Instead, to play chess we memorize patterns of clever moves and search for the crux—the place where the pattern of forces may allow us to take advantage of an opponent's (apparent) weaknesses.

Gnarly Challenges

Strategy creation is a special form of problem solving. By a *form* of problem solving, I mean that it treats much less structured and much more complex problems than you found in the traditional homework problems of your school days. When talking and writing about strategy, it seems better to say "challenges." People associate "problems" with math puzzles, "problems at home," and other unpleasant situations. I also want to emphasize that a strategic challenge may

be triggered by a large opportunity—the challenge being how best to grasp it.

I think of strategic challenges as arising in three basic forms: choice, engineering design, and gnarly. Most that I see are gnarly, perhaps because companies don't ask for help with easier ones.

A *choice challenge* occurs when we know the alternatives, but there are uncertainties and nonquantifiable aspects that make choosing among them difficult. Situations of strategic choice usually arise when there are large long-term commitments of capital or contract at stake. If you own coal in Australia and China is buying more each year, should you invest in a railroad to the sea and a harbor? How big a harbor? What kinds of supply contracts?

An *engineering-design challenge* arises when one has to create something new, but you have methods for evaluating your creation before implementing it. If you go to engineering school, you may learn how to analyze the stress on the steel members and cables of a bridge. Later, asked to design a new bridge, you probably copy a previous design. But when Norway asks for a design-build offer on the world's longest *floating* bridge, over the 550-meter-deep Bjørna fjord, you have to create the design—you have to imagine a way of shaping steel and concrete into a floating bridge. Unlike the choice challenge, there are no predefined alternatives. Still, the wonderful thing about modern engineering is that we have good models of structures and water and loads and winds. You can test your imagined designs mathematically and by simulation before making a choice.

A more difficult situation is the *gnarly-design challenge*. Here there are no given alternatives, and there are no good engineering-type models to test your designs against. There is no guarantee of a solution of any kind. There are not clear causal connections between actions and outcomes.

You solve a gnarly challenge by beginning to dig into the *nature of the challenge*—in figuring out "what is going on here." What is the paradox or central knot of the thing? What constraints might be relaxed?

A Diagnosis of Netflix

Putting myself in CEO Reed Hasting's shoes, the overall challenge seems to have these elements:

The central tension facing the company was that it had grown by renting other people's material. But that may not really work in the future. The vast libraries of Disney (including ESPN, Pixar, Lucasfilm, Fox), WarnerMedia, MGM, NBCUniversal, and more will be withdrawn from Netflix and Amazon. There will be a growing war for content.

With new streaming services arriving, each with a monthly charge, and each trying to pin subscribers with "original" content, when will the market saturate from subscriber financial limits and content fatigue? Then what?

Most of Netflix's so-called original content is produced under contract by the same list of studios that have dominated the industry for a century: Warner Bros., Lionsgate, Paramount TC, Sony, and so on. How long can this supply arrangement last?

If Netflix tries to make high-quality movies, ones that would normally go first to theaters, it would be in direct competition with its suppliers. Does that mean it is trapped into making B-grade movies?

International margins, especially outside of Europe, remain low.

Some of the series offerings have been A-grade, but as Amazon, Disney, Apple, Hulu, and more begin to compete for them, won't the price to license or hire talent drive out profits?

Netflix's cost of gaining each new subscriber is rising, from about $300 in 2012 to about $500 in 2017.

Cash flow is strongly negative—Netflix has been continually adding new debt to finance its growth.

It can only grow its way to cash profit if its costs of production and content can be spread over a larger subscriber base that has broad common tastes in content. Can international expansion provide this base?

In order to show the value of the crux, of getting to the heart of the matter of the strategic challenge, let me quickly describe some of the alternative policies and actions Netflix could take that easily come to mind. With regard to defending domestically, it could go right up against Disney with a $4 per month limited subscription. This version of Netflix could provide a secondary lower-priced plan aimed at phones and pads, with cartoons and other kids' entertainment. For another $10 per month, the full subscription would also be available for adults.

It could strive to build the "new" Hollywood, breaking from the financial and cultural burdens of the old Hollywood's politics, power plays, and focus on "stars." One of the important lessons of series like *The OA* and *Orange Is the New Black* is that one doesn't need existing stars to make popular content. Going down this expensive and risky road would require a very large subscriber base and continued support from the capital markets—no major mistakes allowed.

With a market value close to $90 billion in early 2018, Netflix could buy a studio, like MGM, and get access to its library and production capabilities. This would, of course, be inconsistent with the idea of a being a "new" Hollywood.

Netflix could aim at creating a few huge blockbusters, like HBO's *Game of Thrones*. Content like this can pull in millions of subscribers just to view this one show. There is no formula for doing this.

Netflix could offer more than one streaming service, tailoring each to a different group of subscribers. There is a lot of room here for exploring ways of subsetting the audience and arranging prices.

With regard to expanding internationally, Netflix could focus on the developed world outside the United States, particularly the Anglosphere (Canada, Australia, New Zealand, and the United Kingdom). These and a few similar areas have tastes broadly in common and income levels sufficient to pay for a good streaming service. Along this line, with its current presence in these regions, it could have a new-content advantage in drawing on expertise outside the United States in making video entertainment. In contrast to focusing on the Anglosphere, Netflix could be the worldwide

streaming-content distributor. It could tone down its spending on creating content and focus on being a worldwide distributor for international content. By early 2018, Netflix had already done well with *Dark* (Germany), *Money Heist* (Spain), *Sacred Games* (India), *3%* (Brazil), and others.

THE CRUX OF THE CHALLENGE

Think of a set of gnarly challenges as a large tangle of sticks and wire. It blocks your way forward. You could hack at it for days. But find the right spot and cut one thick wire, and the tangle may break into smaller chunks that are manageable. That wire is the crux of the tangle.

Netflix's overall challenge is that it can no longer count on contracting for existing good TV and studio films at reasonable prices. When it comes to streaming, both access to material and subscriber scale are important. With more subscribers, one can pay more for material, and the ratio of needed shows to subscribers falls—you don't need twice as many different shows for twice as many subscribers. So, subscriber scale seems key. But, of course, subscribers will gravitate to good material unless one is playing a pure cost game for an audience with little taste for variety, such as children.

In competition it is useful to look for asymmetries—ways in which competitors differ. Going back to Fontainebleau's Le Toit du Cul de Chien, the crux of a boulder for a short muscular climber may be easy for a taller climber. Or one army may be larger, the other more experienced. One business may have better technology but poorer distribution, and so on. In the case of Netflix, my attention is drawn to its stronger position in the international arena, an interesting imbalance. Netflix had an early start there with good subscriber growth in the English-speaking world as well as parts of Europe and Turkey. Disney and others will try to take their services abroad but will predictably try to use production bases in the United States. Can Netflix gain advantage by leveraging foreign production to a global audience?

In my view, the *crux of Netflix's situation* is the opportunity to use its current international advantage to create sufficient material to feed both its domestic and its growing international markets.

The move from diagnosis to alternatives requires audacity, especially in a gnarly situation such as that which Netflix is facing. Alternative actions are not given but must be imagined or constructed. Then you do your very best to choose among the alternatives you have created. Finally, you need to translate the idea into specific and coherent actions. In shaping and evaluating an alternative course of action, we have to make judgments. And to invent a solution, we have to judge, or assume, or believe, certain things to be true.

For Netflix, the crux analysis leads one to seek a mechanism for stimulating the international creation of good content while, at the same time, making Netflix the favored distribution channel. Scale will help in helping it pay well, but there is more. Creating content that slides across borders is not easy. Can Netflix create and share knowledge about how to do this? Can that be tied to financing? Could it even set up an international academy, teaching skill in scripting, acting, and production? Will developments in artificial intelligence make language translation easier and cheaper? I could lay out other designs for alternatives, but I am not going to take this simulation of strategy making any further. I hope you can see the value of a careful diagnosis and the identification of a crux.

This process of diagnosing the challenge and then creating a response is the best theory we have for strategy creation. You analyze the challenge and your resources, and you try to think of ways to surmount the challenge and realize some of your ambitions. A myriad of tools exist to help you analyze the challenge. And there are ways

of stimulating and helping you think of a response—analogies to other situations, altering the point of view, doing again what worked last time, and so on. But these are only stimuli. You don't "pick" a strategy; you create it. Then you do your very best to choose among the alternatives you have created. Finally, you need to translate the idea into specific and coherent actions.